

The Jevons paradox of decisions

1 Cheaper often means more

Jevons saw coal use rise as engines got more efficient. Cheaper units open uses that weren't worth it before.



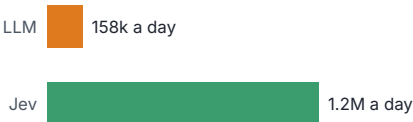
2 It depends on elasticity

If demand grows faster than price falls, total spend rises. If not, you pay less and still do more.



3 Most decisions go unmade

Each login, email or log line is worth a sliver of a cent to check. At LLM prices, most aren't worth asking about.

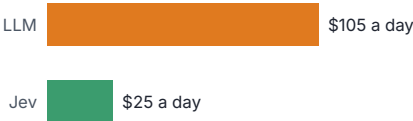


4 Price and time both gate

A decision needs to be cheaper than its value and faster than its deadline. Logins wait for no one: they need an answer inside the few hundred milliseconds a person will sit and wait.

5 Kestrel's illustrative day

8× more decisions, a quarter of the spend. Within one company's jobs the bill falls. New jobs are where the paradox bites.



6 The load moves to people

Flag a fixed share and reviews grow from 136 to 1,185 a day. Flag by cost and they stay put.

